

under the crippling debt. Other Americans have ended up homeless because they were unable to pay their medical bills.⁵⁶ With this in mind, you should have a solid understanding of the insurance you are trusting to protect you.

Unfortunately, because Americans tend to have a pretty poor understanding of how health insurance works, many do not even grasp the basic terminology associated with it. Table 10.1 lists key terms related to health insurance, alongside one survey's findings of the percentage of Americans who understand what they mean. While these terms may seem boring, they need to be understood because they affect all of us in our daily lives.

Table 10.1. Americans' understanding of basic insurance terms

Health insurance term	Percentage of Americans who understand the term ⁵⁷
Deductible	50%
Coinsurance	22%
Copay	52%
Out-of-pocket maximum	42%

As you can see in the table, the highest score Americans received in this simple survey was an F. You are not going to be one of these people. By the end of this chapter, you will understand how insurance works, what the most important terms mean,

56 Michael Sainato, "'I Live on the Street Now': How Americans Fall into Medical Bankruptcy," *The Guardian*, November 14, 2019, <https://www.theguardian.com/us-news/2019/nov/14/health-insurance-medical-bankruptcy-debt>.

57 "4 Basic Health Insurance Terms 96% of Americans Don't Understand," Policygenius, January 24, 2018, <https://www.policygenius.com/health-insurance/health-insurance-literacy-survey>.